

Subject Code	AF5201
Subject Title	Auditing Framework
Credit Value	3
Level	5
Pre-requisite / Co-requisite/ Exclusion	Co-requisite: Accounting for Corporations (AF5111)
Objectives	The subject provides students with a set of basic concepts and methodology of the modern auditing and assurance services, with a focus on the financial statement audits. The subject emphasizes the audit process, reporting and current issues affecting auditing and assurance services. It contributes to the achievement of the PgDPA / MPA Programme Outcomes by enabling students to apply and evaluate contemporary development and framework in Auditing (Outcome 1) and analyze and evaluate the ethical issues facing professional accountants (Outcome 3).
Intended Learning Outcomes	On successfully completing this subject, students will be able to: (a) <u>explain the concepts of modern auditing</u> and assurance services, the objectives of auditing and professional standards; (b) <u>apply basic skills</u> in managing, designing and implementing methodologies for examining, verifying, evaluating and reporting on financial organizations; (c) <u>explain the underlying concepts and objectives of internal control and audit risk</u> as well as ethical principles; and (d) <u>analyze the major ethical issues in accountancy</u> and of the conduct expected of professional accountants by HKICPA.
Subject Synopsis/ Indicative Syllabus	An Overview of Auditing, and Legal, Professional and Ethical Requirements Nature and objective of auditing and assurance services. Types of audit. Independence and professional ethics. Hong Kong Companies Ordinance requirements and Auditing Standards in Hong Kong. Audit planning, Materiality, Audit Risk, Sample Testing and Evidence Engagement planning and its importance. The assessment of materiality and audit risk. The audit-risk model. Non-statistic sample testing and evidential matters. Types of audit tests. Internal Control and Internal Audit Concept of internal control and components of internal control systems. Effectiveness of internal control system on audit strategies and audit testing. Concept of internal audit. Differences between internal & external audit. The assessment of and reliance on internal audit.

	Methodologies for Examining the Financial Statements Audit of sales and collection cycle, purchases and payment cycle, and payroll and personnel cycle, properties, plants and equipment, and inventory. Auditing IT Systems Understanding the impact of IT on internal control structure and audit. Computer auditing techniques and computer audit tools in auditing IT systems. Application of technologies such as data analytics, AI and other emerging technologies in the auditing process. Completing the Audit and Reporting Procedures in completing the audit and different types of audit reports.																																														
Teaching/Learning Methodology	The three-hour weekly seminar will be utilized flexibly, incorporating a blended learning approach by the instructor. Core concepts from the syllabus and their practical applications will be discussed. To foster an active learning environment, flipped classroom videos and various interactive learning activities will be included. Students are expected to actively participate by sharing their views and experiences with the instructor and classmates. Assignments and presentations will be assigned to reinforce students' understanding and application of concepts and techniques in practical situations. These tasks will also aid in developing students' critical thinking, teamwork, and presentation skills.																																														
Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>a</th><th>b</th><th>c</th><th>d</th><th>e</th><th></th></tr><tr><td>Mid-term test</td><td>20%</td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td></td></tr><tr><td>In-class activities, presentation, assignments and/ or participation</td><td>30%</td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td></td></tr><tr><td>Final examination</td><td>50%</td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td></td></tr><tr><td>Total</td><td>100 %</td><td colspan="6"></td></tr></table> Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: In-class activities, participation, assignments and/or presentations – Students are required to actively engage in in-class activities such as quizzes, discussions of questions, or short cases. These activities help consolidate the material covered in lectures and crystallize the concepts learned and their	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						a	b	c	d	e		Mid-term test	20%	√	√	√	√			In-class activities, presentation, assignments and/ or participation	30%	√	√	√	√			Final examination	50%	√	√	√	√			Total	100 %						
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	applications. Students are also required to present a practical case(s) and/or contemporary topic(s) related to basic auditing skills and auditing concepts either on an individual or a group basis. This approach fosters collaboration, reinforces learning, and enhances presentation skills. Mid-term test and final examination – Test and examination assess students' understanding of fundamental auditing concepts. They evaluate students' ability to analyze given facts and audit issues and apply relevant auditing concepts, standards, and procedures to provide appropriate solutions. These comprehensive assessments ensure that students have a thorough grasp of the subject matter and can apply their knowledge effectively. To reflect the significant ethic content in this subject, 10% of the overall weighting of this subject is based on individual assessment concerning ethic-related knowledge. Note: To pass this subject, students are required to obtain Grade D or above in BOTH the Continuous Assessment and Examination components. In addition, the specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.	
Student Study Effort Required	Class contact:	
	13 weeks of 3 hours seminar each	39 Hrs.
	Other student study effort:	
	Students are on average expected to spend around 2.5 hours for each contact hour for reading subject material/textbook, doing presentation discussion and written report	98 Hrs.
	Total student study effort	137 Hrs.
Reading List and References	Johnson, R.N. and L.D. Wiley, Auditing: A Practical Approach with Data Analytics, Wiley, (latest edition) Gay, G. and R. Simnett, Auditing & Assurance Services in Australia, McGraw Hill (latest edition) Leung, P., P. Coram, B.J. Cooper and P. Richardson, Modern Auditing & Assurance Services, Wiley (latest edition). The Hong Kong Standards on Auditing and Code of Ethics for Professional Accountants issued by the Hong Kong Institute of Certified Public Accountants. (Available at the HKICPA website: Members' Handbook (hkcipa.org.hk))	